TOPIC 3 · ECONOMIC ISSUES

ABC News · ABS
2 Nov 2026

Inflation pressures persist as factories contract

A private inflation gauge rose again in October while the manufacturing sector shrank, adding to the picture of sticky inflation and slowing activity.

WHAT HAPPENED

- **Melbourne Institute Inflation Gauge** rose 0.5% in October (Sep +0.3%), its fourth straight monthly rise.
- **Manufacturing PMI** fell to 49.6, its second month of contraction, as new orders fell at the fastest pace in nearly two years.
- **Dwelling approvals** rose 5.1% in September, led by apartments (+16.6%), while house approvals fell 5.3%.
- **ABS CPI** (released 28 Oct): headline 4.3% and trimmed mean 3.6% over the year to September, driven by fuel and housing.

BY THE NUMBERS

4.3%
Headline CPI, year to Sep

3.6%
Trimmed mean, year to Sep

+0.5%
Inflation Gauge, Oct (m/m)

49.6
Manufacturing PMI, Oct

KEY TERMS

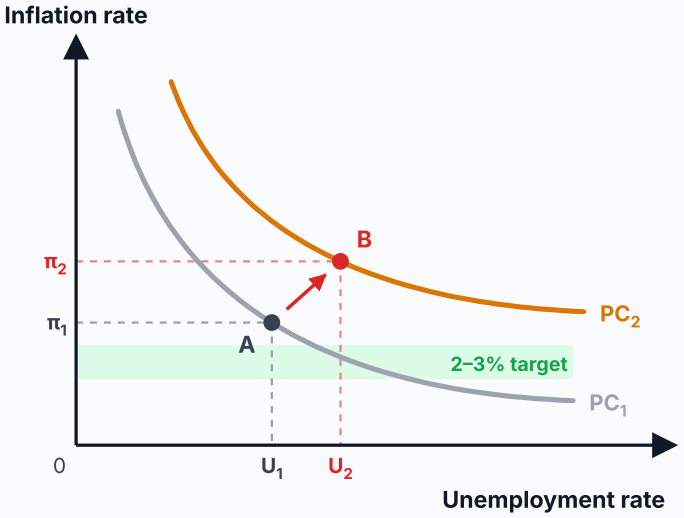
Headline CPI: The price change of the ABS's full basket of goods and services.

Trimmed mean: Removes the largest price rises and falls; the RBA's preferred underlying measure.

Inflation expectations: What people expect inflation to be. They feed into wages and price-setting.

DIAGRAM

Why the RBA worries about expectations



If people expect higher inflation, the short-run Phillips curve shifts from **PC_1 to PC_2**. The economy moves from A to B: inflation rises from π_1 to π_2 even as unemployment rises from U_1 to U_2. Bringing inflation back to the 2–3% target then becomes more costly.

Diagram is illustrative, not to scale.

Exam angle: Explain why the RBA targets **underlying** inflation, and why it acts early to keep **expectations anchored**.

FLOW CHART

The chain of cause and effect

Fuel and housing costs rise → Headline CPI hits 4.3% → Expectations drift up → **RBA tightens policy**

SYLLABUS LINK

Topic 3 – inflation: measurement, causes and effects; headline vs underlying measures.

TRY THIS

Distinguish between headline and underlying inflation, and explain why the RBA focuses on the trimmed mean. **(4 marks)**

Sources: ABC News – business live blog, 2 Nov 2026 – https://www.abc.net.au/news/2026-11-02/asx-markets-business-live-news-nov-2/107334212 · ABS – CPI rose 4.3% in the year to September 2026 – https://www.abs.gov.au/media-centre/media-releases/cpi-rose-43-year-september-2026

Summarised and paraphrased from the sources listed